Scholarship Funds and Related Awards
Policy and Procedures

Introduction: Scope and Intent of the Policy

The Community Foundation for the Fox Valley Region, Inc. ("the Foundation") holds and administers funds that provide scholarship grants for individuals, including high school, college, and graduate school students. These grants enable the scholarship recipients to pursue an undergraduate or graduate education at a technical school, college, university, or graduate school. The Foundation may also hold and administer funds that make grants for students in primary and secondary school to attend various educational programs and for other individuals for vocational or other training. Grants made from such funds are referred to as **"Scholarship Grants."**

The Foundation may also hold and administer funds that make grants to individuals in recognition of achievement in the fields of art, literature, education, science, public or community service, or for other charitable or civic achievement. These grants are not, and may not be, intended to finance any specific activities of the recipients and may not impose conditions on the manner in which the grants may be expended by the recipient. Grants made from such funds are referred to as **"Individual Achievement Awards."**

Finally, the Foundation may hold and administer certain funds that make grants to individuals to achieve a specific objective, produce a report or other similar product, or improve or enhance a literary, artistic, musical, scientific, teaching, or other similar capacity, skill, or talent of the scholarship grant recipient. Eligible individuals may include graduate students, scholars, professionals, and other individuals with specialized skills or knowledge. Scholarships also may be awarded to pay for a course of study leading to a certificate or to achieve a skill level, such as art or vocational school. Such scholarships may cover the cost of tuition and related expenses. All grants described in this paragraph are referred to as **"Awards to Achieve a Specific Objective."**

Except where it is necessary to distinguish among the three types of educational assistance, this policy uses the collective term **"grants"** to refer to all three.

The Foundation has established the following procedures pursuant to which grants will be awarded from funds where donors/advisors have any advisory privileges or participation in the selection of scholarship grant recipients. The following procedures shall be interpreted so as to ensure the Foundation's compliance with all applicable requirements of the Internal Revenue Code, including Section 4966, accompanying Treasury Regulations and guidance from the Internal Revenue Service, and these procedures may be amended from time to time.

The Foundation values the interest and involvement of donor advisors to all three types of funds. Donor advisor involvement may include developing criteria for awards during the fund establishment process and serving on selection committees as a minority percentage of the committee. Because donor advised funds are not permitted to make grants to individuals, all persons involved in the process of selecting individuals for grants covered by this policy must adhere to the procedures and policies incorporated in this document.

Definitions

- **Donor, Donor Advisor, or Donor Representative.** An individual (or all members and employees of a group, organization, or church, including a corporation, partnership, or trust) that makes a contribution to a fund where such fund is separately identified by reference to contributions of the donor and with respect to which the donor (or any person appointed or designated by such donor) has, or reasonably expects to have, advisory privileges with respect to the distribution or investment of amounts held in such fund by reason of the donor/advisor's status as a donor. This also includes any person appointed or designated by a donor to have advisory privileges with respect to a fund. This may also include members of the donor's family and businesses controlled by the donor and family members.

  Throughout this policy, these terms may be used interchangeably.

- **Related Persons.** The term includes both a donor's or an advisor's family members, employees, and businesses they control:

  1. Family Members – An individual's parents, stepparents, stepchildren, grandparents, great grandparents, spouse, siblings, children, grandchildren, great grandchildren, aunt, uncle, niece, nephew, first cousin, and the spouses of all of the above.
  2. Controlled Businesses – Corporations, partnerships, and trusts or estates if the donor or advisor and family members own more than 35 percent of the total combined voting power (corporations), 35 percent of the profits interest (partnerships), or 35 percent of the beneficial interest (trusts or estates).

- **Educational Institution.** An institution that has a regular faculty, a curriculum, and an organized body of students in attendance, in person or virtually, at the place where the educational activities are held.

- **Qualified Educational Expenses.** Certain expenses incurred in attending an educational institution. They are:

  1. Tuition and fees for enrollment and attendance.
  2. Course-related expenses – fees, books, supplies, and equipment required of all students for courses of instruction.
  3. Room and board, travel, research, and clerical assistance. Payments for expenses in this group are not exempt from income tax.

Types of Scholarship Funds

- **Scholarship Endowment Fund.** A gift or bequest of $15,000 or more is required to establish a permanently endowed scholarship fund.

- **Scholarship Non-Endowment Fund.** In general, the Foundation accepts only permanently endowed scholarship funds. However, in some exceptional circumstances, the Foundation may approve the establishment of a non-endowed scholarship fund.

- **Scholarship Future Fund.** A donor may establish a scholarship future fund with an initial gift of $1,000. Such funds are invested and acknowledged but may not issue a scholarship grant until the fund reaches the minimum scholarship endowment level of$15,000.

- **Corporate Scholarship Fund.** A company or other for-profit organization may establish a scholarship fund at the Foundation for their employees and/or dependents of their employees. (See Appendix A.)

Fund Administration

1. **Contributing to a Fund**
   The assets of scholarships funds are owned and controlled by the Foundation; therefore, all gifts to a fund are irrevocable. Additional contributions to a fund may be made by any donor, in any amount, and at any time so that more and/or larger scholarship grants may be offered in future application/award cycles.
   - Donors may add gifts to the amount available for distribution from a fund to increase the number or size of awards PRIOR to the beginning of a scholarship application/award cycle. The scholarship application/award cycle may vary by fund.
   - Donors MAY NOT add gifts for the purpose of increasing specific scholarship size or number for the upcoming scholarship season during the open scholarship application/award cycle.

2. **Changes to a Scholarship**
   - Scholarship award amounts and quantities MAY NOT increase or decrease during an active application/award cycle.
   - Scholarship selection criteria MAY NOT change during an active application/award cycle.
   - Any substantial or material changes to a scholarship, its committee guidelines, or its selection criteria will be made only with prior approval of the Foundation's Board of Directors.

3. **Scholarship Fund Distributions**
   Scholarship funds may begin issuing scholarship grants if the fund, the eligibility, the selection criteria, and the committee guidelines are finalized prior to the opening of a scholarship application/award cycle, with the deadline typically being November 1.
   - The minimum scholarship award will be $500.
   - Scholarships will not be advertised or awarded unless the fund has a minimum of $500 available for distribution.
   - The full committed award amount must be in the 'amount available for spending' (spendable amount) before any scholarship selections are finalized.

For multi-payment scholarship grants, the "full committed award amount" includes all renewable payments.

4. **Investments and Fees**
   The Foundation has sole responsibility and authority for investment of the assets of all funds. Decisions with respect to the retention, investment, or reinvestment of assets, and with respect to commingling of assets, shall be made at the recommendation of the Foundation's Investment Committee, for approval by its Board of Directors. The Foundation assesses administrative and investment fees against all funds, to cover the cost of administration and to continue the Foundation's important work in our community.

5. **Spending Policy - Amount Available for Distribution (Spendable Amount) for Endowment Funds**
   The Foundation's Spending Policy within the Investment Policy Statement is used to determine the amount that may be disbursed from an endowment fund each year for scholarship grants. If the fund's principal value falls significantly below amounts contributed to the fund, the percentage used in determining the amount available for distribution may be reduced to allow the fund's value to recover. This policy is designed to provide stability for scholarship awards.

6. **Fundraising**
   Donor advisors may choose to raise money to add to their scholarship funds. Fundraising, if permitted, must strictly adhere to the guidelines set forth in the Foundation's fundraising policy, and to any additional restrictions imposed by the Foundation as a condition of its consent.

Scholarship Applicants

1. **Applicant Pool**
   The applicant pool must be sufficiently broad so that awarding scholarship grants to one or more members of the group fulfills a charitable purpose; however, selection from such a group is not necessary if one or more recipients are selected on the basis of their exceptional qualifications to carry out the purpose of the grant, or it is otherwise evident that the selection is particularly calculated to effectuate the charitable purpose of the grant rather than to benefit particular persons or a particular class of persons. For example, selection of a qualified research scientist to work on a particular project does not violate the requirements of this paragraph if the scientist is selected from a group of three scientists who are experts in that field.

2. **Disqualified Persons**
   Scholarship grants covered by this policy may not be awarded to any member of the Foundation's Board of Directors, any employee of the Foundation, or any other disqualified person with respect to the Foundation, including their family members. Grants may not be awarded to any donor/advisor or any contributor to the fund making the award, to any member of a selection committee for such award, or to any of their family members.

3. **Volunteers and their Family Members**
   Eligibility is open to all volunteers and their family members who are not specifically identified above, as they do not have involvement with any aspect of the scholarship

selection processes. These volunteers include members of Foundation committees, geographic affiliate board and committee members, supporting organization board and committee members, and other similar committees or task forces.

Advertising

1. **Scholarship Grants**
   Foundation staff shall contact high school, college, and graduate school administrators as well as managers of other relevant community institutions to advertise the availability of the Foundation's Scholarship Grants and to request that the administrators encourage potential scholarship recipients to submit applications.

2. **Individual Achievement Awards**
   Foundation staff shall contact relevant community institutions and individuals to publicize the availability of the Foundation's Individual Achievement Awards and to solicit nominations for such awards.

3. **Awards to Achieve a Specific Objective**
   Foundation staff shall develop the application or nomination procedures that are appropriate to accomplish the purposes of the fund under which any such award is established.

Scholarship Selection Process

The Foundation's Board of Directors has delegated the responsibility to oversee the appointment of scholarship committee members and the selection of scholarship recipients to the President/CEO.

The Foundation will offer a broad dissemination of eligibility requirements, deadlines, and applications for scholarships. The criteria to be used in selecting grant recipients from a fund established at the Foundation must be based on factors that are appropriate to accomplishing the underlying purpose of the fund as described in the fund agreement. Foundation staff will work with donors to establish funds that fulfill the donors' charitable goals and feature clear selection criteria.

1. **Applicant Selection**
   Recipients are to be selected on an objective and nondiscriminatory basis. Because a scholarship benefits an individual and not an organization, the awarding of scholarships is referred to as "grantmaking to individuals." The Internal Revenue Service (IRS) strictly regulates awards to individuals. Specifically, the applicant pool must be sufficiently large enough to constitute a charitable class. For this purpose, "charitable class" is defined as a group large enough so that an indefinite number of individuals may benefit. However, a charitable class may consist of a comparatively small number of beneficiaries provided the class is open and the identities of individuals to be benefitted remains indefinite. (Example: scholarships to undergraduate members of a designated fraternity could be exempt because scholarships would be available to not only present members but also to unknown future members.)

   The eligibility and selection criteria must be broad enough to satisfy these legal

requirements but narrow enough to be manageable in relation to the dollars available. Therefore, the applicant pool from which recipients are selected will be defined at the time the fund is established, provided that the restriction does not reduce the size of the group so much that it no longer constitutes a charitable class.

No donor or related person shall have direct or indirect control of the selection process. Donors and related persons may provide advice, make recommendations, or express opinion with respect to the selection of grant or award recipients solely as members of a selection committee.

Candidates for awards may not take part in the selection process.

2. **Selection Criteria**

The selection criteria for scholarship grants may include, but are not limited to, the following:

- Prior academic performance;
- Extracurricular activities or community involvement;
- Additional biographical information regarding an applicant's career, academic, and other relevant experiences;
- Financial need; and
- The selection committee's conclusions as to the applicant's motivation, character, ability, or potential based on the application.

Criteria may also include the applicant's place of residence, past or future attendance at a particular school, past or proposed course of study, or evidence of their artistic, scientific, or other special talent. Preference may be given to applicants of a particular background so long as such preference does not violate policy or federal regulations.

Recipients of scholarship grants must be (1) primary or secondary school students; (2) undergraduate or graduate students at a college or university who are pursuing studies or conducting research to meet the requirements for an academic or professional degree; or (3) students who receive a scholarship for study at an educational institution that provides educational programs acceptable for full credit toward a bachelor's or higher degree, or offers a training program to prepare students for gainful employment in a recognized occupation, and is authorized under federal or state law to provide such a program, and is accredited by a nationally recognized accreditation agency. Criteria for Awards to Achieve a Specific Objective must be related to the purpose of the fund under which the award is established, which may fall outside of the conditions listed in this paragraph.

Scholarship grants must be used for Qualified Educational Expenses at an educational institution. The Foundation reserves the right to impose additional, reasonable restrictions and/or requirements upon the awarding and administration of scholarship grants. Any substantial or material changes to a scholarship will be made only with prior approval of the Foundation's Board of Directors.

3. **Home School Applicants**
   Home school students may apply for any scholarship for which they meet the selection criteria. For this reason, home school students are excluded from scholarship pools for which the selection criteria indicate a particular high school or schools.

4. **Evaluation**
   To ensure that a fair, equitable, and non-discriminatory selection process is employed, all applicants must adhere to the same guidelines and submit all the required application forms and attachments in accordance with the deadline(s). Following receipt of applications, each scholarship committee will rank applicants using an evaluation system, taking into consideration the established eligibility criteria for that particular scholarship fund, following consistent scoring procedures for all applicants.

5. **Individual Achievement Awards**
   Individuals and organizations wishing to nominate persons for Individual Achievement Awards shall be required to submit such nomination forms and supporting materials as the Foundation may deem appropriate, on a schedule to be determined by the Foundation. Criteria for Individual Achievement Awards include but are not limited to the individual's past achievements and community involvements, as well as other biographical information related to an applicant's career, academic accomplishments, and other relevant experiences. The Foundation reserves the right to impose additional, minor reasonable restrictions and/or requirements upon the awarding of Individual Achievement Awards and the administration of such grants. Any substantial or material changes will be made only with approval of the Foundation's Board of Directors.

6. **Awards to Achieve a Specific Objective**
   Applicants for Awards to Achieve a Specific Objective shall be required to submit such application forms and supporting materials as the Foundation may deem appropriate, on a schedule to be determined by the Foundation. Criteria for Awards to Achieve a Specific Objective must be related to the purpose of the fund under which the award is established and may include but are not limited to: prior experience; contributions to the field; demonstrated academic, literary, artistic, musical, scientific, teaching, or other similar achievement; financial need; character; ability; motivation; and potential. If the award is to pay for a course of study leading to a certificate or a higher skill level, criteria shall be related to the purpose of the fund under which the award is established.

Selection Committees

1. **Committee Members**
   The Foundation's Board of Directors has delegated the oversight of forming scholarship selection committees and appointing scholarship committee members to the President/CEO.

   Selection committees shall follow Foundation guidelines for the number and amount of grants awarded each year, adhere to Foundation criteria and general eligibility requirements to select recipients, and recommend recipients to the Foundation for approval.

Selection committees may consist of Foundation staff and Board Members, individuals with experience in the relevant field, and other community members. Donors, donor advisors, and related persons may participate on their fund's selection committee but must represent a minority of the members on that committee. No donor, donor advisor, or related person shall have direct or indirect control of the selection process. This means that no combination of donors, persons appointed or designated by donors, and related persons (a term that includes partnerships, corporations and trusts as well as individuals) related to them may constitute a majority of the committee, be given a veto power, be allowed to chair the committee, or otherwise be permitted to control the committee's decisions. If a donor advisor recommends a person for appointment to a selection committee based on objective criteria related to the expertise of such person, they may or may not be deemed to be appointed or designated by the donor advisor.

Donor advisors and related persons may provide advice, make recommendations, or express opinion with respect to the selection of grant or award recipients solely as members of a selection committee. This means that donor advisors may not pre-screen applications and choose those to be referred to the committee. It also means that donor advisors may not make a final selection from among the candidates approved by the committee.

Every member of the selection committee must adhere to the relevant policies of the Foundation as they may be adopted and amended from time to time, including without limitation the Foundation's conflict of interest and confidentiality policies.

Each selection committee established under this policy shall forward its recommendations to the Foundation in such form and on such schedule as Foundation staff shall establish. Selection committees have the option of not choosing a recipient if a qualified application is not received.

Whenever possible, selection committees are encouraged to select one or more alternate recipients to receive the scholarship award, should the originally intended recipient not use the award. In the absence of an alternate recipient, any unused monies will be returned to the fund for subsequent awards.

2. **Geographic Affiliates**
   All Affiliate funds will follow the same procedures as other funds administered by the Community Foundation for the Fox Valley Region.

3. **Size and Composition**
   Each selection committee will preferably be composed of an odd number of voting members, with a required minimum of 3 and a suggested maximum of 7. Committee members making recommendations must not be in a position to derive a private benefit, directly or indirectly, from the selection process.

4. **Term Length**
   All selection committee members serve for one-year terms. At the discretion of the Foundation, members may serve on the same committee for multiple terms.

5. **Conflict of Interest**
   Each member of any selection committee covered by this policy must disclose any personal knowledge of a relationship with any potential recipient under

consideration. Selection committee members with a past or current working, familial, or other significant relationship with an applicant or applicant's family may not participate in assessing, discussing, or voting on that application. All conflicts must be disclosed prior to selection committee deliberations.

Ethics and Confidentiality

All communications with applicants/recipients regarding scholarship awards shall be made directly through the Foundation's staff.

No contact shall be permitted between donors, donor advisors, or related persons with applicants/recipients before, during, or after the application/award cycle. No contact shall be permitted between committee members and applicants/recipients outside of the Foundation's review process.

Information contained in, gleaned from, or provided by applications, interviews, or Foundation staff to donors, donor advisors, related persons, and selection committee members MUST remain confidential.

Discussions between committee members in all Foundation meetings are confidential. By agreeing to serve on a committee, members agree to safeguard application packets, and to refrain from applicant discussions outside of the committee. At the conclusion of the selection process, all application packets must be returned to the Foundation.

Payment of Awards

Once recipients are selected, the recipient will be informed of the amount of the award, the purpose for which it must be used, and requirements (if any) that must be met before receiving the award or renewal of the award. Awards will be announced through notification to recipients and, as appropriate, school counselors. Awards are not official until written notification has been made by the Foundation's staff. The award will be paid directly to the educational institution after the recipient has provided the Foundation verification of their enrollment and met all requirements. Award notifications may be provided to high schools to utilize in award presentations if appropriate lead-time and arrangements have been made.

The Foundation will not pay a scholarship grant directly to the individual recipient, except for the Individual Achievement Awards and Awards to Achieve Specific Objective. At the time of payment, the educational institution will be informed of any restrictions for use of the funds. The institution will be required to notify the Foundation regarding any funds that cannot be used solely for the purposes outlined in the correspondence. Any unused monies shall be refunded to the Foundation by the institution, for return to the fund.

Generally, scholarship payments are made for tuition, fees, and course-related expenses (required books, fees, supplies and equipment). Scholarship funds may pay for additional costs (such as room and board); however, a recipient may be liable for income taxes on awards for this purpose. It will not be the Foundation's responsibility to provide tax advice to recipients.

Any funds not expended for the purpose of the award must be returned to the Foundation for use in furtherance of its mission and the charitable purposes of the particular fund under

which such award was made. The Foundation will take all reasonable and appropriate steps to recover the grant funds and/or ensure restoration of the diverted funds to the purposes of the grant. The phrase "all reasonable and appropriate steps," includes legal action where appropriate, but may not include legal action if such action would in all probability not result in the satisfaction of execution on a judgment.

1. **Payments**
   Scholarship payments will be processed after the Foundation approves scholarship verification materials submitted by the recipient. Through the verification materials, the Foundation verifies that the recipient meets the eligibility criteria of a specific scholarship. For renewable scholarship grants, the recipient must submit verification materials for any subsequent payment as per the eligibility criteria of said scholarship.

2. **Eligible Educational Institutions for Payments**
   Payments will be made to accredited elementary, secondary, and post-secondary educational institutions including vocational schools, technical colleges, two-and four- year colleges, and universities within the United States. Exceptions must be approved by the Foundation. Payments may also be made to support students in primary and secondary schools who wish to attend various educational programs and for other individuals (e.g., music instructors, arts instructors, etc.) for vocational or similar training.

   Payments may be made to a for-profit school, to the extent that such a scholarship grant is for a charitable purpose (advancing education). Generally, the Foundation will not allow a scholarship award from a fund established by the proprietor of a for-profit school, or by another who stands to benefit financially from students enrolled in such an institution.

Compliance Requirements for Post-Secondary Scholarships

Any student failing to meet the requirements specified in a scholarship award must immediately notify the Foundation, in writing, to request an evaluation of the student's specific case.

1. **Acceptance of Scholarship Awards**
   All scholarship recipients are subject to deadlines for accepting or requesting deferral of scholarship payments. This includes applicants who were evaluated by a high school, using the high school's scholarship application.

   If a student chooses to decline an award, that decision will be considered final and their award will be cancelled.

2. **Requests to Defer Payment**
   Students requesting a deferral of a scholarship payment must submit their request to the Foundation in writing. Typically, deferrals may be requested for up to one year. No more than one deferral per scholarship grant will be considered. The recipient will be informed of the Foundation's determination in writing.

3. **Probation and Cancellation of Scholarship Awards**
   Recipients may request that their scholarship eligibility status be re-evaluated by the Foundation due to extenuating circumstances. All requests for review must be

submitted to the Foundation in writing, and the recipient will be informed of the Foundation's determination in writing.

There are two main scenarios that would result in award payment(s) being cancelled by the Foundation.

- If student fails to meet the scholarship's eligibility requirements, their scholarship award(s) could be terminated immediately.
- If student did not communicate their intent to accept or defer an award within the schedule determined by the Foundation, their award payment(s) may be cancelled and/or awarded to an alternate recipient. Foundation staff will make reasonable efforts to communicate with students prior to cancellation. Generally, award payment(s) will be cancelled if Foundation staff do not receive the appropriate communication of intent by the end of the school year in which the award payment was to be applied.

In certain circumstances, the Foundation may decide to place a student on probation rather than pursuing an immediate award cancellation.

- If a student fails to meet any requirement of a multi-year scholarship grant, that payment will be forfeited, and they may be placed on probation for a period equal to the scholarship payment cycle to rehabilitate their academic standing. The Foundation will withhold payment for the period of noncompliance and will determine whether or not to defer the award.
- A one-time probationary period may be extended to the student by the Foundation. All students entering a probationary period will be informed of the terms of probation, in writing, by the Foundation. Under the terms of probation, the student may be offered a period equal to the scholarship's payment cycle to restore eligibility status.
- If the student fails to meet eligibility requirements by the end of the probationary period, the scholarship award(s) will be terminated.

If the student succeeds in regaining eligibility, the scholarship will be continued on the condition that eligibility status is maintained.

4. **Private Aid Displacement**
   Scholarships are considered private aid and may offset already established financial aid packages. Correspondence to educational institutions accompanying scholarship payments will include a statement noting that scholarships may replace loans or work study but should not replace grants or other scholarships without Foundation authorization.

5. **Investigation of Jeopardized Grants**
   The Foundation is not required to investigate the use of scholarship grants paid directly to an educational institution unless the award may be used to pay for something that is not a Qualified Educational Expense. The Foundation retains the prerogative to conduct any investigation deemed appropriate to ensure the terms of the award have been honored.

6. **Compliance Requirements for Individual Achievement Awards and Awards to Achieve a Specific Objective**
   - Individual Achievement Grants cannot require a particular use of the funds, so no report is required from the recipient.

- Recipients of Awards to Achieve a Specific Objective or, if appropriate, the organization supervising the recipient's work, may be required to provide a written report to the Foundation about their activities and use of funds at the end of the grant period. If the grant is for a term of longer than one-year, periodic written reports may be required at least annually.

The Foundation has a responsibility to confirm compliance with the terms of all grants made as Awards to Achieve a Specific Objective. Where the reports submitted or other information (including the failure to submit reports), indicate that such a grant is not being used for its intended purpose, the Foundation will investigate. While conducting its investigation, the Foundation will withhold further payments until the Foundation is satisfied with the status of the grant award. The Foundation will also take all reasonable and appropriate steps to recover the grant funds and/or ensure restoration of the diverted funds to the purposes of the grant.

Document Retention

The Foundation will retain all scholarship records as per Internal Revenue Service regulations and as recommended by the National Standards for U.S. Community Foundations, in accordance with the Foundation's Document Retention and Destruction Policy, including:

1. All information the Foundation secures to evaluate the qualification of scholarship applicants;
2. Identification of recipients, including any relationships to the Foundation sufficient to make them a disqualified person of the Foundation;
3. Specification of the amount and purpose of each scholarship grant; and
4. The follow-up information which the Foundation obtains in confirming compliance with all eligibility requirements.

This retention requirement includes all documentation relating to unsuccessful applications, except in cases where the applications are evaluated by a high school, using the high school's scholarship application. In such cases, only information received regarding scholarship recipients will be maintained by the Foundation.

Supporting Organizations

Supporting Organizations established under the Foundation will adopt and adhere to the policy described within this document. If a supporting organization wishes to approve a modified version, its staff may submit a request to the Scholarship Manager, the designated staff liaison who oversees the policy. The request will be reviewed, and if it involves material changes to the content, it will be routed through the designated committee and the Community Foundation's Board of Director for approval. Once approved, the policy may be adopted by the supporting organization's Board of Directors.

Additional Information

The Community Foundation reserves the right to amend, revise, or change this policy at any time without notice. If you have questions about the policy or want to confirm you have the latest version, please contact the Scholarship Manager at the Community Foundation.

Adopted by the Community Foundation's Board of Directors on December 11, 2025.
Effective: December 11, 2025.

Appendix A
Corporate Scholarships

The Internal Revenue Service (IRS) has issued guidelines for private foundations that maintain scholarship programs for children of employees and/or employees of the company that created the private foundation. Because no such guidelines currently exist for a community foundation administering a corporate scholarship program, it has been recommended that community foundations follow the guidelines set for private foundations. Therefore, the Community Foundation for the Fox Valley Region has adopted the following guidelines based on IRS regulations.

The scholarship program must be established for a sufficiently broad "charitable class" from which scholarship recipients will be selected. A broad charitable class of potential recipients exists if the following criteria are met:

- Selection of scholarship recipients is objective and non-discriminatory.
- The class is sufficiently broad, based on the facts and circumstances.
- Proper criteria for selecting scholarship recipients are established.
- The selection committee is comprised of a group or committee independent of the sponsoring employer.

The scholarship may not be used by the employer to recruit employees or to induce employees to continue employment. If an individual must meet employment-based eligibility criteria, the minimum period of employment may not exceed three years. Neither the eligibility nor the selection criteria should be related to any employment-related factor such as position, services, seniority, or duties, unless such factors provide an advantage to those with lesser positions, services, seniority, or duties.

Scholarship awards cannot be terminated because the recipient or the recipient's parent terminates employment after the scholarship is awarded, regardless of the reason for termination. In addition, if an award is renewable or if a recipient may reapply in future years, employees or children of employees may not be considered ineligible due to termination of employment subsequent to the initial award, and renewal criteria must be based solely upon factors unrelated to continued employment. The courses of study for which scholarships are available may not be limited to those that would particularly benefit the employer.

The terms of the scholarship must be consistent with the disinterested purpose of enabling recipients to obtain an education solely for their personal benefit and must not include any commitments, understanding, or obligations to suggest that studies are undertaken by the award recipient for the benefit of the employer.

When scholarships are awarded to children of employees, the number of grants awarded must be either: (1) limited to 25% of the number of students who were eligible, applied for grants, and were considered by the selection committee, or (2) alternately, the number of scholarships awarded may be limited to 10% of the number of children who were eligible for the year, regardless of whether or not they submitted an application. When scholarship awards are offered to employees, the number of grants awarded may not exceed 10% of the number of employees who were eligible, applied for grants, and were considered by the selection committee.

If a scholarship program does not meet the percentage test described above, then the primary purpose of the extra compensation will be evaluated to determine whether or not it is competitively awarded to educate recipients in their individual capacities, or if it may be construed as an employee benefit and therefore not in compliance with these guidelines.